

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

HMM Co., LTD. F/K/A HYUNDAI MERCHANT MARINE CO.,
LTD., *Respondent*.

DOCKET NO. 24-23

Served: March 24, 2025

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER PARTIALLY GRANTING MOTION TO DISMISS¹

I. Background

On July 1, 2024, Respondent HMM Co., Ltd filed a motion to dismiss the complaint, arguing that the Federal Maritime Commission lacks jurisdiction over Complainant Samsung Electronics America, Inc.'s ("SEA") claims because they are essentially allegations that HMM did not adhere to the terms of the applicable service contracts, for which SEA's remedy is to file a claim in federal court. HMM also argues that SEA has failed to join indispensable parties, that the various counts of the complaint fail to state a claim, and that SEA's failure to specify an amount for its reparations claim warrants dismissal of that claim. SEA filed an opposition on July 16, 2024 and HMM filed a reply on July 23, 2024.

For the reasons discussed below, the motion is GRANTED with respect to Counts II and III and DENIED with respect to the remaining counts.

II. Discussion

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure ("FRCP") will be followed in instances that are not covered by the Rules, to the extent that application of the FRCP is consistent with sound administrative practice. 46 C.F.R. § 502.12. In addition to failure to state a claim, governed by FRCP 12(b)(6), HMM's motion is premised on

¹ This order partially granting dismissal will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service. 46 C.F.R. § 502.227.

the argument that the Commission lacks jurisdiction over SEA's 46 U.S.C. § 41102(c) claims because they are in fact claims for breach of service contracts. Mot. to Dismiss 5, Dkt. 12. The Commission looks to FRCP 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 6445041, at *4 (FMC Oct. 29, 2020). Under FRCP 12(b)(1), there are two types of jurisdictional attacks: (1) a factual attack, which challenges the existence of subject matter jurisdiction using material extrinsic from the pleadings, such as affidavits or testimony; and (2) a facial attack, in which a respondent's challenge is confined to whether the complainant has sufficiently alleged a basis of subject matter jurisdiction. *Stalley ex rel. United States v. Orlando Reg'l Healthcare Sys., Inc.*, 524 F.3d 1229, 1232-33 (11th Cir. 2008); *see also Osborn v. United States*, 918 F.2d 724, 729-730 (8th Cir. 1990).

Where, as here, a respondent challenges the sufficiency of the allegations regarding subject matter jurisdiction—a facial challenge—a court will employ the *Twombly-Iqbal* “plausibility” standard, which is the same standard used to evaluate challenges to claims under FRCP 12(b)(6). *Pena v. Ortiz*, 521 F. Supp. 3d 747, 750 (N.D. Ill. 2021). Under this plausibility standard, the Commission will dismiss a claim if the complainant fails to plead “enough facts to state a claim for relief that is plausible on its face.” *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court “to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). The factual content includes the facts alleged in the complaint, documents attached to or incorporated by reference in the complaint, and matters subject to official notice (including judicially noticeable facts and “technical or scientific facts within the general knowledge of the Commission”). *Id.* at *41 n.1 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

To allow the necessary inferences to be reasonably drawn, the complaint's factual allegations must be more than speculative, and must “nudge claims across the line from conceivable to plausible.” *Id.* at *12 (quoting *Elemary v. Holtzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)). The plausibility standard is not a probability requirement – while actual proof of the alleged facts may be improbable, and recovery may seem remote and unlikely, the standard does not require the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible. *Id.*

While this standard does not require detailed factual allegations, it does require more than labels, conclusions, or a formulaic recitation of the elements of a cause of action. *Id.* The Commission need not accept as true legal conclusions or draw inferences that are not supported by the allegations. *Id.* Legal conclusions can provide the framework of the complaint, but they must be supported by factual allegations. *Id.* at *13. The factual allegations needed to reach plausibility will vary depending on the complexity of the case and require the presiding officer to draw on judicial experience and common sense. *Id.*

B. Count I: Claims alleging unreasonable practices under 46 U.S.C. § 41102(c)

1. Commission jurisdiction over Shipping Act claims in the context of service contracts

HMM first argues that SEA's claims under 46 U.S.C. § 41102(c) are based on HMM's alleged failure to provide service under "store door terms" which, as a matter of agreement arising under the applicable bills of lading or service contracts, is an issue of contract interpretation. Mot. to Dismiss 5-6. And since the dispute arises under these maritime contracts, the task of interpreting the parties' rights is vested exclusively in the federal courts. Mot. to Dismiss 6 (citing, e.g., *Norfolk Southern R. Co. v. James N. Kirby Pty, Ltd.*, 543 U.S. 14, 24-25 (2004) (holding that a bill of lading for ocean carriage is a maritime contract and that authority to interpret such contracts stems from the Constitution's grant of admiralty jurisdiction to the federal courts)).

While the federal courts undoubtedly have jurisdiction over a claim for breach of a maritime contract, the jurisdictional question here does not turn on whether SEA could obtain relief in federal court on a breach-of-contract theory for violations of the terms of the bills of lading or of any applicable service contracts, but on whether it has stated a cognizable claim under the Shipping Act. The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission *must* address alleged violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission's obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, where related proceedings regarding those claims are underway, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). The Commission set forth the standard for determining whether a complaint is inherently a contract claim or sufficiently alleges a Shipping Act cause of action in *Cargo One*:

However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, Inc., 2000 WL 1648961, at *14. The question, then, is whether SEA’s allegations are inherently a breach of contract claim premised on HMM’s failure to comply with “store door terms,” or whether they also involve elements “peculiar to the Shipping Act.”

SEA does allege in the complaint that HMM was “failing to maintain just and reasonable practices in connection with its inland transportation obligations, including failing to timely remove SEA Containers from U.S. marine and intermodal terminals and failing to timely deliver SEA Containers to their designated inland locations.” Compl. ¶ 40. On first glance this reads like a contract claim, and if that was the extent of SEA’s complaint, then HMM’s argument that this is essentially a breach of contract action might prevail. But on further reading, it is apparent that the discussion of “store door” terms is background to the Shipping Act allegations. SEA alleges that HMM “began charging SEA dramatically increasing amounts for alleged demurrage and detention charges resulting from HMM’s inland transportation failures,” and not from any cause within SEA’s control. Compl. ¶¶ 41-42. HMM refused to mitigate, cancel, or waive the charges and threatened to refuse to release, or actually refused to release, unrelated SEA containers if the charges were not paid. Compl. ¶¶ 43-45. SEA further alleges that HMM’s invoices lacked adequate information to determine the basis of the individual detention and demurrage (“D&D”) charges and that HMM failed to take its own responsibility for delays into account, rebilled SEA for charges already paid, failed to have an adequate dispute resolution system in place with respect to the D&D charges, and failed to provide reasonable opportunities for chassis return. Compl. ¶¶ 46, 49. That these allegations arise in the context of a service contract, bill of lading, or other agreement is not dispositive – all ocean freight is transported pursuant to some agreement, and so all Shipping Act claims will arise in this context. *Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 321 (FMC Aug. 2, 1962). The existence of an agreement, therefore, does not deprive the Commission of jurisdiction to determine the reasonableness of HMM’s practices with respect to the D&D charges, billing and dispute-resolution practices, and container and chassis handling – claims involving elements peculiar to the Shipping Act – under 46 U.S.C. § 41102(c).

2. Pleading a “practice” under § 41102(c)

HMM next argues that SEA has not alleged a “practice” sufficient to state a claim under 46 U.S.C. § 41102(c) because the allegations relate only to SEA’s containers, and not to broader practices generally applicable to the shipping public. Mot. to Dismiss 8-10. Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a § 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. The element at issue here is (b), whether HMM’s alleged actions were occurring on a normal, customary, and continuous basis. That is, whether they were a “practice” pursuant to 46 U.S.C. § 41102(c).

In the notice of proposed rulemaking for the interpretive rule, the Commission explained the intended construction of the word “practice” in 46 U.S.C. § 41102(c):

It is this line of recent cases determining that a discrete failure to observe and enforce an established just and reasonable regulation or practice that the Commission seeks to reform in this rulemaking so as to return the scope of § 41102(c) to its proper role and purpose within the Shipping Act. In the future, the Commission intends to follow the reasoning in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade Specialists*, *Deringer*, and *Kamara* which offer precedent as to what properly applies the full meaning and purpose of “establish, observe, and enforce just and reasonable regulations and practices” under the Shipping Act and a violation of § 41102(c).

Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 43569-43570 (Sep. 8, 2018) (“NPRM”); *see also, generally*, Final Rule, 83 Fed. Reg. 64478 (adopting reasoning of NPRM and citing the same cases).

The cases cited by the Commission in the NPRM do not support HMM’s argument that complainants are required to plead specific instances of the allegedly unreasonable practices applied to the broader shipping public – information that may be uniquely within the control of the carrier. *Intercoastal Investigation* describes a practice as “an often repeated and customary action.” *Intercoastal Investigation*, 1935, 1 U.S.M.C. 400, 432 (1935). In *Altieri*, the presiding officer found that, although respondent’s withholding of money owed to complainant to offset a disputed claim of respondent against complainant was clearly unlawful, it was “an isolated or ‘one shot’ occurrence,” and therefore not a “practice” within the meaning of the Shipping Act. *Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-420 (Oct. 18, 1962). In *Stockton Elevators*, the Commission described a “practice” as “something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction” *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964). In *European Trade Specialists*, the allegation was that the freight forwarder had failed to notify the shipper of the dispute as to the applicable tariff rate for their commodities. The ALJ

found that the freight forwarder's normal practice was to notify shippers of such disputes, that they had reached out to complainant for additional information regarding the classification of their shipment, and even if they had not, the failure to do so was a single incident, and so not a "practice," but went on to observe that even if they had not, that there would be no violation. *European Trade Specialists v. Prudential-Grace Lines*, 17 S.R.R. 1351, 1364 (ALJ Nov. 1, 1977) (affirmed *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979)). In *A.N. Deringer*, the respondent's failure to specify the number of cartons on the bill of lading, which resulted in limitation of liability to loss for one carton rather than the 12 that were actually lost, was "an isolated error." The settlement officer noted that "an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity," requiring proof of failure to enforce reasonable regulations and practices. *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, Docket No. 1652(I), 25 S.R.R. 1273, 1276, 1990 WL 427469, at *4 (SO Nov. 14, 1990). In *Kamara*, the settlement officer held that a carrier's failure to remit payment to a subcontracting carrier did not constitute a Shipping Act violation, although the shipper would have a contractual claim, since Section 10(d)(1) was not intended to cover "an isolated error or understandable misfortune," but rather a "pattern of behavior." *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739, at *2 n.8 (SO July 26, 2001). The pleading requirement to be inferred from these cases is that complainants must plead sufficient facts to show a pattern of typical behavior, rather than an isolated error, occasional transaction, or one-shot occurrence. By pleading that the alleged practices occurred over several years, with respect to thousands of shipments, and over SEA's protests, SEA has met that burden. See Compl. ¶¶ 14, 39, 42-43, 55, 64.

The cases cited by HMM do not support its position. Mot. to Dismiss 8-9. In *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, complainant alleged that respondent's charges for storing boats to be shipped overseas were unreasonable in violation of § 41102(c). Docket No. 15-04, 2 F.M.C. 2d 213 (ALJ Dec. 9, 2020), *aff'd* 3 F.M.C. 2d 110. The ALJ found that there was not even sufficient evidence to show that the storage charges were a "practice" as between the parties in the case, since the shipment at issue was complicated by delays in finding appropriate equipment to transport the complainant's boat, delays in shipping the boat, and a change in destination. *Id.* at 232. In that context, a finding that respondent's storage fees were unreasonable in one other case, decided prior to the enactment of the Interpretive Rule and which did not explicitly address whether the storage fees were normal, customary, or continuous, was not sufficient evidence that the allegedly unreasonable fees were a "practice" with respect to the broader shipping public. *Id.* at 232-233. In this case, SEA had sufficiently pleaded that the allegedly unreasonable D&D charges were a practice as between SEA and HMM.

In *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, complainant alleged that respondent had a practice of releasing shipments without original bills of lading. Docket No. 17-02, 2 F.M.C.2d 168 (FMC Sep. 1, 2020). There was no evidence that the carrier released shipments without the original bills of lading for shippers other than complainant. But, again, there were other relevant factual considerations. Not only did the conduct only occur three times, but there was evidence that respondent released the shipments due to misleading statements and threats from the consignee – hardly a "normal" situation. *Id.* at 169, 172-173. In this case, SEA has alleged that there were thousands of shipments, and that HMM imposed the charges not at the behest of SEA or its affiliates, but over SEA's objection.

European Trade Specialists does not state that there is any requirement to plead harm to the general shipping public, instead observing that the record established one isolated incident of the allegedly unreasonable conduct:

The record demonstrates that it is the “practice” of Hipage to notify shippers of problems arising over their shipments. Thus what we have here is not a question of the establishment of a just or unjust practice but an allegation of a single departure from a practice which I am sure complainants would characterize as just and reasonable.

European Trade Specialists, 17 S.R.R. at 1365. In this case, as noted, SEA has alleged thousands of instances of the conduct occurring over several years. *Whitam* is similarly unhelpful to HMM’s position since the plaintiff in that case was not even pleading a “practice;” instead, defendant attempted to recharacterize the complaint as one alleging a practice so that exclusive jurisdiction would rest with the Interstate Commerce Commission (under a statutory provision similar to § 41102(c)):

That plaintiff complains expressly of ‘a practice’ of the railroads is not found in his pleadings. The motion to dismiss can introduce no question of fact, but only can raise such questions as can be raised from the face of plaintiff’s petition. We are bound by the facts set out in that petition. In effect, defendants say the plaintiff’s petition is complaining of the practice of the carriers, any regulation or decision as to which they claim is purely administrative, and therefore, primarily for the [Interstate Commerce] Commission. Does plaintiff’s petition construed as a whole, charge the railroads with ‘a practice’ such as comes within the meaning of ‘practice’ as used in the quoted decision? I do not think it does. As such, plaintiff does not complain of the rate whatsoever. Nor, as heretofore stated, does he in any sense complain of the rule. The word ‘a practice’ as used in the decision, or used anywhere properly, implies systematic doing of the acts complained of, and usually as applied to carriers and shippers generally. It appears to me that this question, or like questions, must be decided by the peculiar facts or alleged facts of each case. Plaintiff’s contention is, he was cheated in the over weights, not that the applied rates were in any way improper. And, as far as the petition goes, he makes it an individual matter between himself and the defendants. He does not make it a practice even between them.

Whitam v. Chicago, R. I. & P. Ry. Co., 66 F. Supp. 1014, 1017 (N.D. Tex. 1946). That the court opined, in the context of the counterfactual it was considering, that a “practice” implies an act “usually” applied to “shippers generally,” while at the same time observing that the plaintiff did not even establish the practice as between itself and the defendant, does not establish a pleading requirement for Shipping Act cases.

The purpose of the Interpretive Rule’s explication of a “practice” was not to erect pleading obstacles for complainants, but to ensure that the claims brought before the Commission are focused on the practices of carriers, rather than on isolated occurrences, one-off

disputes, or errors. Accepting the facts pleaded by SEA as true, HMM: charged SEA for D&D under circumstances where SEA had no control over the movement of cargo and that did not serve to incentivize freight fluidity, either because HMM was responsible for the move or because it failed to provide adequate opportunities to return containers; failed to provide adequately clear billing so as to allow SEA to challenge the charges; rebilled D&D charges already paid; refused to extend free time or waive the improper charges; and failed to have an adequate dispute-resolution process in place. Compl. ¶¶ 41-47, 49, 55, 67. HMM did this over a period of several years, with respect to approximately 96,000 D&D charges, and despite objections from SEA. Compl. ¶¶ 42-43, 55, 64. The complaint does not describe an “isolated or ‘one shot’ occurrence,” “occasional transaction,” or an “isolated error or understandable misfortune,” but deliberate choices made by HMM and consistently applied or, in other words, a practice. *Altieri*, 7 F.M.C. at 420; *Stockton Elevators* 3 S.R.R. at 618; *Kamara*, 2001 WL 898739, at *2 n.8.

3. Indispensable parties

HMM asserts that it provided ocean transportation services to SEA pursuant to service contracts executed between HMM and SEA’s affiliates SDS Asia Pacific PTE, LTD (“SDS”) and Samsung Electronics Logitech Co., Ltd. (“Logitech”). Mot. to Dismiss 1-2. It argues that these parties are indispensable and, since they cannot be joined given the Commission’s lack of jurisdiction over them, the proceeding must be dismissed. Mot. to Dismiss 10.

The Commission has articulated a three-step process to determine whether litigation may proceed in the absence of a particular party. *Intermodal Motor Carriers Conference, Am. Trucking Ass’n, Inc. v. Ocean Carrier Equip. Mgmt. Ass’n Inc.*, Docket No. 20-14, 2024 WL 641501, at *15 (FMC Feb. 13, 2024) (“IMCC”). The first step is determining whether the absent party is necessary for a just adjudication under the criteria identified in FRCP 19(a). A party is necessary to the proceeding if either of the following apply: (1) the court cannot grant complete relief in their absence; or (2) they claim to have an interest related to the case and disposing of the claims in their absence impedes their ability to protect that interest or creates a substantial risk of double, multiple or inconsistent obligations. *IMCC*, 2024 WL 641501, at *15 (citing FRCP 19(a); *Republic of the Philippines v. Pimentel*, 553 U.S. 851, 862 (2008); *De Csepel v. Republic of Hungary*, 27 F.4th 736, 746-47 (D.D.C. 2022)).

For purposes of FRCP 19(a), HMM does not explain why SDS and Logitech are necessary to provide complete relief in this proceeding, in which SEA has alleged that HMM charged SEA D&D charges that were unjust or unreasonable. SEA is not seeking any relief against SDS or Logitech. As for the second prong of FRCP 19(a), neither SDS nor Logitech has claimed to have an interest in the proceeding, nor does HMM proffer a reason why a determination that its D&D practices were unreasonable, with a corresponding reparations award to SEA and a cease-and-desist order directing HMM to conform its practices to the Shipping Act, would impede their ability to protect their interest or create a risk of inconsistent obligations.

Instead, HMM argues that its purportedly unreasonable D&D practices are required by its contracts with SDS and Logitech. Mot. to Dismiss 12-13. This argument is premised on HMM’s

incorrect belief that “the Service Contracts at issue are really the focal point of the Complaint.” Mot. to Dismiss 10. As stated in Sec. II.B.1. above, the Service Contracts are background to the question of whether HMM’s D&D practices are unjust or unreasonable – even if these practices are memorialized in a contract with an entity that is not a party to this proceeding, that is not an obstacle to determining their reasonableness. Parties cannot evade Shipping Act prohibitions by entering a contract, then proclaiming that any commitment embodied in that contract is exempt from Commission review. *IMCC*, 2024 WL 641501, at *12. As the Commission explained in the Interpretative Rule on Demurrage and Detention:

Ocean carriers and [MTOs] do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c). Although the general trend in the industry has been deregulatory, Congress retained section 41102(c) when it enacted the Ocean Shipping Reform Act in 1998.

IMCC, 2024 WL 641501, at *13 (*citing* 85 Fed. Reg. 29639, 29649 (May 18, 2020) (codified at 46 C.F.R. § 545.5) (replacement in brackets in original)).

In *IMCC*, complainant was a conference of the American Trucking Association, Inc. that represented the interests of motor carriers hired to transport containers over the road between U.S. ports and inland facilities. Securing chassis (wheeled metal frames) required to transport containers was an essential part of their business, and chassis are generally owned by intermodal equipment providers (“IEPs”) who rent them at daily rates. 2024 WL 641501, at *1. Just as HMM argues that the Service Contracts with SDS and Logitech are the “focal point” of SEA’s complaint, the *IMCC* respondents argued that the Commission was asserting jurisdiction over their chassis-usage contracts with third parties (the IEPs). Mot. to Dismiss 10. The Commission found this argument to be based on an erroneous premise: “The issue before the Commission is whether Respondents’ chassis-provisioning practices are unreasonable or unjust under Section 41102(c). Respondents’ contractual obligations to the IEPs are a separate issue.” *IMCC*, 2024 WL 641501, at *13. Similarly, the issue in this proceeding is whether HMM’s D&D practices are unreasonable or unjust under § 41102(c) – HMM’s contractual obligations to SDS and Logitech are a separate issue. *Id.* HMM may need to bring its practices into line with an order issued in this case and modify its dealings with shippers to comply with the Shipping Act, but this will not subject SDS or Logitech to any conflicting or inconsistent demand, nor does the motion to dismiss describe any multiple obligations that HMM would be exposed to. *See IMCC*, 2024 WL 641501, at *16 (“Respondents will need to bring their practices into line with the Commission’s cease-and-desist order and modify their dealings with shippers, motor carriers, and chassis providers accordingly – but granting that relief will not subject the IEPs to conflicting or inconsistent demands.”).

The second step of the indispensable-party analysis as articulated by the Commission is determining whether the non-party’s joinder is feasible. *IMCC*, 2024 WL 641501, at *15 (*citing* FRCP 19(b); *Kickapoo Tribe of Indians of Kickapoo Reservation in Kansas v. Babbitt*, 43 F.3d 1491, 1494. (D.C. Cir. 1995)). The third and final step considers whether the case can proceed “in equity and good conscience” if the absent (but necessary) party cannot be joined or whether the case should be dismissed. *Id.* (*citing* FRCP 19(b); *Pimentel*, 553 U.S. at 862).

HMM accurately points out that § 41102(c) only applies to the conduct of ocean common carriers, marine terminal operators, and ocean transportation intermediaries – SDS and Logitech are none of these and so their joinder likely would not be feasible. *See* 46 U.S.C. § 41102(c); Mot. to Dismiss 13. But, as stated above, SEA is not seeking any relief from these parties, and they are not otherwise necessary parties.

As to the third step, Rule 19(b) provides a non-exhaustive list of factors to be considered in deciding whether the case should go forward in the non-party's absence, consisting of:

(1) the extent to which a judgment rendered in the person's absence might prejudice that person or the existing parties; (2) the extent to which any prejudice could be lessened or avoided by: (A) protective provisions in the judgment; (B) shaping the relief; or (C) other measures; (3) whether a judgment rendered in the person's absence would be adequate; and (4) whether the plaintiff would have an adequate remedy if the action were dismissed for nonjoinder.

FRCP 19(b). As already noted, HMM has not articulated any prejudice that would result to SDS and Logitech as a result of finding that HMM's D&D practices are unreasonable and has offered no reason why an adequate remedy cannot be fashioned as between HMM and SEA. Also, as noted in Section II.B.1. above, SEA cannot bring its Shipping Act claims in any other forum – the Commission has exclusive jurisdiction over these claims. And bringing a different cause of action in federal court would not give SEA the same opportunity to seek a cease-and-desist order on the basis that HMM's D&D practices do not meet § 41102(c) reasonableness standards. *IMCC*, 2024 WL 641501, *17. Since the Commission is the exclusive forum for Shipping Act remedies, full relief can be afforded as between the current parties, and there is no identifiable prejudice to SDS or Logitech, "equity and good conscience" would favor proceeding with this action even if SDS and Logitech were necessary parties.

C. Count II: Violations of 46 U.S.C. § 41104(a)(3)/41102(d) – Retaliation

Prior to the enactment of the Ocean Shipping Reform Act of 2022 ("OSRA"), the Shipping Act's anti-retaliation provision, found at 46 U.S.C. § 41104(a)(3), stated:

(a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not--

* * *

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.

46 U.S.C. § 41104(a)(3) (prior to OSRA). Following passage of OSRA, effective June 16, 2022, the operative section is 41102(d):

(d) Retaliation and other discriminatory actions.--A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not--

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for--

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has--

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d).

To state a claim under either of these sections, SEA must allege sufficient facts to show that it engaged in protected activity (“filed a complaint” or “any other reason”) and that, because of this protected activity, HMM refused or threatened to refuse available cargo-space accommodation or engaged in “any other unfair or unjustly discriminatory action.” HMM argues that SEA has failed to allege any protected activity, presenting only conclusory allegations without any specificity as to what its protected activity was, and with no indication of refusal of space accommodations or other retaliatory action as a result of the protected activity. Mot. to Dismiss 15; Reply to Opp’n to Mot. to Dismiss 7-9, Dkt. 14. SEA contends that it threatened to file a complaint with the Commission, and that such threats constitute protected activity. Opp’n to Mot. to Dismiss 21.

The Commission has explained that the “for any other reason” language includes other ways a shipper might bring unlawful activity to the Commission’s attention:

Section 41104(a)(3) contains two types of shipper activity that are specifically protected: patronizing another carrier and filing a complaint. Filing a complaint refers to filing a sworn complaint alleging a violation under 46 U.S.C. § 41301(a). The statute also, however, protects shippers from being retaliated against “for any other reason.” The Commission interprets “any other reason” to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures. This interpretation is consistent with congressional intent as set forth in the Alexander Report and with the important role shippers serve in assisting the Commission with its mission. Further, providing information to Commission investigators and enforcement

attorneys, seeking assistance from CADRS, and commenting on Commission rules and notices fall within same class of conduct as filing a complaint.

Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d at 207, 2021 WL 9204128, at *5 (FMC Dec. 28, 2021).

In *OJ Commerce*, the ALJ found that threats to file a complaint with the Commission, while not expressly included in the Commission's statement on retaliation, were part of the category encompassed in "any other reason":

That this "any other reason" language may also apply to other conduct - such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS's dispute resolution procedures - does not mean that "any other reason" may not also apply to threats to file an FMC complaint. . .

Ideally, parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation. These conversations may be limited if "threats" to file a complaint are not included in the anti-retaliation provisions as shippers may hesitate to raise issues without the protection of the anti-retaliation provision. Moreover, just because a party threatens to file a complaint does not mean that the complaint is valid or would be successful. It simply advises the carrier that the shipper believes there may be a violation so that the carrier can ensure that their conduct conforms to the requirements of the Shipping Act. As long as carriers have a legitimate, transportation-related basis for their decisions and comply with the requirements of the Shipping Act, they will not face liability. Moreover, including "threats" to file a complaint as an "any other reason" is consistent with the Commission's statement that this section should be read broadly. Therefore, a threat to file a Commission complaint constitutes "for any other reason" in the anti-retaliation provision.

For the reasons discussed above, OJC's threat to file a complaint with the Commission establishes that OJC engaged in protected activity and this element is met. Therefore, all four factors are met. OJC has established that common carrier HSDG retaliated against shipper OJC by refusing cargo space accommodations when available or resorting to other unfair or unjustly discriminatory methods because OJC had filed a complaint or for any other reason, which includes the threat to file a Commission proceeding. 46 U.S.C. § 41104(a)(3). The next issue is what reparations, commonly referred to as damages, are appropriate.

OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., Docket No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *39 (ALJ June 7, 2023). The Commission has since affirmed the ALJ's holding. *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co.*, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024).

Even though SEA is correct that a threat to file a complaint with the Commission constitutes protected activity, there is no allegation of such a threat anywhere in the complaint. The complaint speaks only to a demand letter alleging “unlawful charges for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct,” and which “invited HMM to respond in a substantive manner, and asked that HMM indicate its interest in discussing cooperative resolution.” Compl. ¶ 50. That a complaint was ultimately filed is not sufficient for me to reasonably infer that the demand letter included a threat to file. *See 20230930-DK-BUTTERFLY-I, Inc., v. MSC Mediterranean Shipping Co. SA*, Docket No. 23-12, 2024 WL 1299768, at *5 (ALJ March 25, 2024) (“Even if a threat to file a complaint with the Commission constitutes “any other reason,” the complaint *sub judice* does not plead facts that demonstrate that [complainant] threatened to file a complaint, or engage in any way, with the Commission.”). There is no indication in the complaint of a threat to file with the Commission, to provide any information to the Commission, to seek assistance from CADRS, or to interact with the Commission in any way. In the absence of any such allegation, SEA has not pleaded protected activity for purposes of stating a retaliation claim.

Even if SEA’s allegations of protected activity were sufficient, it has also failed to plead any retaliatory activity with respect to vessel-space accommodation or otherwise. SEA’s complaint is merely a conclusory allegation that unspecified retaliation occurred:

74. In response to Complainant’s efforts to address HMM’s shipping and charging practices, resolve disputes, and dispute invoices, HMM threatened to retaliate, and in fact did retaliate, against Complainant and SEA Containers with respect to delivery of cargo and refusing available cargo space accommodation.

75. Prior to and on numerous occasions to and through the date of this Complaint, HMM retaliated against Complainant and SEA containers in violation of 46 U.S.C. §§ 41104(a)(3) and 41102(d).

Compl. ¶¶ 74-75. The complaint does not state any particulars about who made the threats or what they were, how the retaliation was carried out, when it occurred, or any other information from which to plausibly infer a violation of § 41102(d). It simply states a legal conclusion that there was retaliation. With only a conclusory statement that retaliation occurred, and no allegation of protected activity, I find that Count II does not plausibly establish a claim for retaliation and must be dismissed.

D. Count III: Violation of 46 U.S.C. § 41104(a)(10) – Refusal to deal

The pre-OSRA Section 41104 refusal-to-deal provision states that it is unlawful for a common carrier to “unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41104(a)(10) (prior to OSRA). The post-OSRA provision, in effect since June 16, 2022, states that “(a) A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not – (10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier. 46 U.S.C. § 41104(a)(10).

The dates in the Complaint are vague, but the conduct complained of with respect to D&D charges begins in “approximately mid-2020” and negotiations regarding the fallout from the D&D charges continued at least through February 2024, so the allegations in the complaint straddle the passage of OSRA. Compl. ¶¶ 40, 58. HMM argues that regardless of the version of the statute in effect, SEA’s complaint fails to state a claim because it does not allege any instance in which HMM refused to deal or negotiate, unreasonably or otherwise. Mot. to Dismiss. 16.

To plead a violation of § 41104(a)(10), SEA must plead facts to show that HMM refused to deal or negotiate, and that such refusal was unreasonable. *Canaveral Port Auth. – Possible Violations of Section 10(b)(10)*, Docket No. 02-02, 2003 WL 723336, at *16 (FMC Feb. 24, 2003). SEA argues that it has alleged a refusal to deal, citing to Complaint ¶¶ 43-45, 74, and 79-80. Opp’n to Mot. to Dismiss 22. Paragraphs 74 and 79-80 consist of legal conclusions without factual content and so do not support an inference that the conduct actually occurred. Paragraphs 43-45 state that HMM “refused to mitigate, cancel, or waive” the D&D charges.

But the complaint then details the negotiation process regarding these charges: HMM responded to a demand letter regarding the D&D charges, noting that it was open to discussing the matter, participated in a meeting, requested additional information to facilitate further discussion, participated in a second meeting at which SEA representative presented a detailed presentation, agreed to internally discuss the possibility of mediation, declined mediation and suggested an alternative approach to assessing the charges, and then “continued to engage in discussions” until impasse. Compl. ¶¶ 50-57. While this fact pattern does describe a failure to reach an agreement, there is no reading, now matter how generous the inferences in SEA’s favor, that sets forth a refusal to deal or negotiate. A refusal to negotiate means refusal to give “actual consideration to an entity’s efforts at negotiation.” *Canaveral*, 2003 WL 723336, at *18. But according to SEA’s complaint, HMM did consider SEA’s presentation, and engaged in months of negotiations.

As HMM points out, refusals to deal are found where a party refused to consider a contract or request for service or space, not where the complainant disagrees with the result of the discussions. Reply to Opp’n to Mot. to Dismiss 10. Failing to arrive at favorable terms – or any terms at all – following a negotiation is not a refusal to deal or negotiate. *Canaveral*, 2003 WL 723336, at *18 (citing *Seacon Terminals, Inc. v. Port of Seattle*, Docket No. 90-16, 26 S.R.R. 886, 899, 1993 WL 197325 (FMC Apr. 14, 1993)). While a common carrier must “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors,” the Shipping Act does not guarantee the right to enter into a contract, or a contract with any specific terms. *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 345, 351, 2001 WL 865692, at *8 (ALJ June 27, 2001), *aff’d* 2002 WL 33836158, at *6 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. Fed. Mar. Comm’n*, 80 Fed. Appx. 681 (D.C. Cir. 2003); *see also Santa Fe Discount Cruise Parking, Inc. v. the Bd. of Tr. of the Galveston Wharves*, Docket No. 14-06, 2014 WL 7404584, at *13 (ALJ Nov. 21, 2014) (dismissing refusal-to-deal claim because “Complainants do not allege that they did not have access to the Cruise Terminal, only that the access was on terms not to their liking”), admin. final Dec. 23, 2014. While SEA and HMM’s negotiations did not result in a resolution of the D&D charges, HMM did, according to SEA’s own complaint, participate in negotiations. The failure to arrive at acceptable terms does not constitute a violation of 46 U.S.C. § 41104(a)(10).

While the details of HMM's dispute-resolution practices may bear on the reasonableness of HMM's overall D&D practices (see Sec. II.G. below), the facts as stated by SEA, even in their most favorable light, do not describe a plausible claim for refusal to deal or negotiate, and so Count III will be dismissed. Since I have dismissed Count III on the basis of failure to state a claim, there is no need to address HMM's arguments regarding the *Noerr-Pennington* doctrine in this context. Mot. to Dismiss 17-18.

E. Count IV: Violation of 46 U.S.C. § 41104(a)(15) – Non-compliant invoices

In Count IV of its complaint, SEA alleges a violation of 46 U.S.C. § 41104(a)(15), a provision of OSRA, which requires certain information to be included in D&D invoices and relieves the invoiced party from the obligation to pay if the required information is not included:

(a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--

* * *

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with--

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled "Interpretive Rule on Demurrage and Detention Under the Shipping Act" (or successor rule); or

* * *

(d) Detention and demurrage invoice information.--

(1) Inaccurate invoice.--If the Commission determines, after an investigation in response to a submission under section 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) Contents of invoice.--An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

(A) Date that container is made available.

(B) The port of discharge.

- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

* * *

(f) Elimination of charge obligation.--Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.

46 U.S.C. § 41104.

HMM argues that SEA fails to state a claim for violation of § 41104(a)(15) because it does not allege any specific deficiencies, invoices, time period, or “other identifying information that would give any understanding of the allegations it purports to raise.” Mot. to Dismiss 18. HMM also argues that this provision does not apply retroactively and so would only apply to invoices issued after June 16, 2022, and that the only remedy available for a violation is issuance of a compliant invoice. Mot. to Dismiss 19. SEA argues that specific details regarding the improper invoices are not required to satisfy the *Iqbal/Twombly* pleading standard. Opp’n to Mot. to Dismiss 24.

While SEA is correct that heightened specifics are not required, it must still plead enough facts to state a plausible claim. *See Bell Atl. Corp. v. Twombly*, 550 U.S. at 569 n. 14 (“Here, our concern is not that the allegations in the complaint were insufficiently ‘particular[ized];’ rather, the complaint warranted dismissal because it failed *in toto* to render plaintiffs’ entitlement to relief plausible.”) (alteration in original); *id.* at 570 (“[We] do not require heightened fact

pleading of specifics, but only enough facts to state a claim to relief that is plausible on its face.”). With respect to Count IV, SEA’s complaint just satisfies this requirement with the help of some reasonable inferences. SEA points out that its complaint alleges that “HMM’s invoices routinely lacked adequate information to determine the basis for the individual demurrage and detention charges” and “failed to provide SEA with adequately detailed billing information and/or invoices related to demurrage and detention charges that would permit SEA to meaningfully understand and/or contest the charges.” Opp’n to Mot. to Dismiss 24; Compl. ¶¶ 46, 67. HMM’s argument is well taken – SEA’s claim would be more comprehensible if it included specific date ranges for the invoices and described more specifically the type of information that was missing. But from the statements that “[b]eginning in approximately mid-2020” and “[d]uring that same period HMM began charging SEA dramatically increasing amounts for alleged demurrage and detention charges” it can be reasonably inferred that the invoices began in mid-2020. Compl. ¶¶ 40-41. And that they continued, at least to some extent, into 2024, after the effective date of OSRA. *See* Compl. ¶ 83 (“on numerous occasions through and to the date of this Complaint”). It may also be inferred, based on SEA’s claim that it was not able to understand or contest the charges or determine the basis of the charges, that the information was of the type required by § 41104(d) (allowed free time, dates for beginning and end of free time, D&D rules applied, applicable rates, etc.). This factual context provides enough information to plead a claim for violation of 46 U.S.C. § 41104(a)(15).

As to HMM’s argument that it may reissue corrected invoices which would then subject SEA to an obligation to pay, the question of available remedies is irrelevant to whether SEA has stated a claim for violation of the statute. Reply to Opp’n to Mot. to Dismiss 12.

F. Count V: Violation of 46 U.S.C. § 41104(a)(14) – Unreasonable charges

Count V alleges violation of 46 U.S.C. § 41104(a)(14), which prohibits a common carrier from “assess[ing] any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including [46 U.S.C. § 41102(c)] or [46 C.F.R. Part 545].” HMM argues that Count V fails to state a claim because it “does no more than recite the terms of the statute and raise an empty allegation.” Mot. to Dismiss 19. Read in the context of the entire complaint, I do not find that Count V needs to do any more than that. As explained above, SEA has adequately alleged that HMM’s D&D practices were unjust or unreasonable in violation of § 41102(c), and has also alleged that HMM assessed D&D charges against SEA in connection with those practices. *See* Sec. II.B.2. above. Read together, that is sufficient to state that HMM has assessed a charge that is inconsistent with § 41102(c).

I agree with HMM’s argument that § 41104(a)(14), enacted as part of OSRA, would only apply to charges assessed after June 16, 2022, the OSRA effective date. But as stated above, it can reasonably be inferred from the complaint that at least some D&D charges were assessed after that date.

HMM also argues that the “practices and actions in connection with assessment” described in the complaint are not themselves “assessments” of charges subject to § 41104(a)(14). Mot. to Dismiss 20. Whether and to what extent HMM’s specific actions

constitute “assessments for charges” is a factual dispute and not a basis for dismissal of Count V. I therefore find that Count V sufficiently states a claim for violation of § 41104(a)(14).

G. Count VI: Violation of 46 U.S.C. § 41102(c) – Dispute resolution practices

Count VI alleges violation of 46 U.S.C. § 41102(c) in connection with HMM’s dispute resolution practices related, it can reasonably be inferred, to the D&D charges. Compl. ¶ 92. HMM argues that § 41102(c) is not applicable to dispute resolution practices. Mot. to Dismiss 20-23. This is not the case. In its Interpretive Rule on Demurrage and Detention Under the Shipping Act, the Commission made clear that dispute-resolution practices are part of the analysis of the reasonableness of a carriers’ detention and demurrage practices:

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, ***including dispute resolution policies and practices*** and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29666 (May 8, 2020) (emphasis added) (codified at 46 C.F.R. § 545.5). The cases cited by HMM predate this interpretive rule. Mot. to Dismiss 20-23.

HMM also argues that the allegations of unreasonable dispute-resolution practices are insufficiently pleaded. Mot. to Dismiss 23-24. The complaint alleges that “HMM failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges.” Compl. ¶ 46(e). While this is fairly general, SEA also describes a process whereby it initiated a dispute in October 2022, then after five months of discussions, HMM proposed a charge-by-charge analysis of 96,000 separate charges. Compl. ¶¶ 50-55. It is not a stretch to read this, in a light favorable to SEA, as an unreasonable process, and so HMM’s contention that SEA has failed to sufficiently plead an unreasonable dispute-resolution process is unpersuasive. Mot. to Dismiss 23-24. As a matter of organization, the allegations supporting Count VI are perhaps better addressed as a subpart of Count I, since §545.5(d) contemplates that dispute-resolution policies and practices are a relevant consideration in determining the overall reasonableness of demurrage and detention practices. But this imprecision is not fatal.

Finally, HMM states that Count VI runs afoul of the *Noerr-Pennington* doctrine, without any argument. Mot. to Dismiss 24. Under the *Noerr-Pennington* doctrine – established by *Eastern Railroad Presidents Conference v. Noerr Motor Freight, Inc.*, 365 U.S. 127 (1961), and *United Mine Workers v. Pennington*, 381 U.S. 657 (1965) – defendants are immune from antitrust liability for engaging in conduct (including litigation) aimed at influencing decisionmaking by the government. *Octane Fitness, LLC v. ICON Health & Fitness, Inc.*, 572 U.S. 545, 555-56 (2014). This includes concerted action aimed at influencing the government regardless of intent or purpose, including to engage in anticompetitive regulation. *City of*

Columbia v. Omni Outdoor Advert., Inc., 499 U.S. 365, 379-80 (1991). The doctrine applies outside the antitrust context, and to conduct “incidental to the prosecution of the suit.” *Sosa v. DIRECTV, Inc.*, 437 F.3d 923, 930-31, 935 (9th Cir. 2006) (citing *Bill Johnson's Restaurants, Inc. v. NLRB*, 461 U.S. 731 (1983); *Columbia Pictures Indus., Inc. v. Professional Real Estate Investors, Inc.*, 944 F.2d 1525, 1528-29 (9th Cir.1991)). But HMM does not provide any support for application of the *Noerr-Pennington* doctrine in the precise scenario here – where a respondent is alleged to have engaged in unreasonable dispute-resolution practices as part of a larger pattern of conduct in violation of the Shipping Act (and where those practices are, by regulation, a relevant consideration). In this context, there is no support for HMM’s argument that the doctrine bars SEA’s § 41102(c) claims.

H. Reparations

Finally, HMM argues that because the complaint does not specifically state an amount of reparations sought, the claim for reparations must be dismissed. Mot. to Dismiss 24-25. Rule 62 requires complainants seeking reparations to set forth in their complaint the amount of their alleged damages:

(4) *Complaints seeking reparation; statute of limitations.* A complaint may seek reparation (money damages) for injury caused by violation of the Shipping Act of 1984. (See subpart O of this part.)

(i) Where reparation is sought, the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages.

46 C.F.R. § 502.62(a). Rule 62 is not a jurisdictional pleading requirement – the Shipping Act requires only that a claim for reparations be filed within three years of the accrual of the claim. 46 U.S.C. § 41301(a). If the complaint is filed within that time, the Commission “shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). Rule 62 even allows an award of reparations where a complainant has not requested it (in “unusual” circumstances and for good cause). 46 C.F.R. §502.62(a)(4)(ii). In this case, SEA has filed within the statute of limitations, has requested reparations, and has described the injury caused by the violation. Compl. pp. 21-22. Standing alone, the failure to state a specific dollar value of the requested reparations does not warrant dismissal.

SEA’s argument that the “Complaint alleges that the amount of the claims was made known to HMM” does not constitute compliance with Rule 62, because Rule 62 requires the amount to be set forth in the complaint, not in some pre-complaint communication. Opp’n to Mot. to Dismiss 29. While not jurisdictional, Rule 62 is mandatory, and SEA must amend its complaint to set forth the amount of reparations sought. SEA cites Rule 251 for the proposition that it is not required to plead a specific amount. Opp’n to Mot. to Dismiss 29-30. But Rule 251 governs the presentation of evidence at hearing – it has nothing to do with pleading:

If many shipments or points of origin or destination are involved in a proceeding in which reparation is sought (See § 502.63), the Commission will determine in its decision the issues as to violations, injury to complainant, and right to

reparation. If complainant is found entitled to reparation, the parties thereafter will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered. ***In such cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts.***

46 C.F.R. § 502.251 (emphasis added). SEA will therefore be ordered to amend its complaint to specify the amount of damages in compliance with Rule 62. *See* 46 C.F.R. § 502.66(a).

III. Order

Upon consideration of the record, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Respondent's motion to dismiss is **GRANTED IN PART**; it is further

ORDERED that Counts II and III of Complainant's verified complaint are **DISMISSED**; it is further

ORDERED that Complainant file, no later than 10 days following service of this order, an amended complaint specifying the amount of alleged damages in accordance with Commission Rule 62; it is further

ORDERED that Complainant shall serve the amended complaint directly in accordance with 46 C.F.R. § 502.66(b); it is further

ORDERED that Respondent file an answer to the amended complaint no later than 10 days following service of the amended complaint; and it is further

ORDERED that the joint status report described in the Initial Order will be due no later than 15 days following service of the answer.

**ALEX
CHINTELLA**

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ALEX CHINTELLA
Date: 2025.03.24
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Alex M. Chintella
Administrative Law Judge